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Steven Kelly
Yale Program on Financial Stability

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POLICY NOTE

How the FDIC Sourced Crisis-Time Fed Funding through the Failed Banks of 2023[1]

Steven Kelly[2]

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This article was originally published online on August 20, 2024, and updated in April 2025 following the Federal Reserve's release of new data.

Abstract

During the Banking Crisis of 2023, the Federal Deposit Insurance Corporation (FDIC) had to contend with the liquidity demands of the second-, third-, and fourth-largest bank failures in US history, all in a compressed timeframe. Facing uncertainty over its liquidity needs, particularly if additional banks were to fail, and optics and political challenges over accessing its standing credit lines with the Treasury—which itself was brushing against the federal debt ceiling—the FDIC relied on two creative forms of financing itself. First, the agency kept open the Federal Reserve (Fed) loans taken on by the failed banks, eschewing its standard practice of immediately paying down the Fed loans of banks in receivership. The FDIC kept these loans despite selling the underlying collateral that the failed banks had posted to the Fed; it accomplished this by replacing the collateral at the Fed with FDIC corporate guarantees. Second, the FDIC used the failed banks' FDIC-run bridge banks to obtain new and, in one case, uncollateralized loans from the Fed—again securing the Fed with an FDIC guarantee that the loans would be paid back. In taking these steps, the FDIC implemented a novel mechanism to supplement its liquidity in crises, notwithstanding the other potential motivations for making expansive use of this funding strategy and the legal uncertainties around it. However, the costs and risks of supplementing the FDIC's crisis-time liquidity this way must also be considered.

Keywords: Banking Crisis of 2023, Federal Deposit Insurance Corporation, First Republic Bank, resolution financing, Signature Bank, Silicon Valley Bank

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[1] This note was first published on the Yale School of Management's *Systemic Risk* blog on August 20, 2024. This April 2025 update incorporates since-released Federal Reserve data on discount window borrowing and adds additional Federal Deposit Insurance Corporation history.

[2] At the time of writing, Steven Kelly was Associate Director of Research, Yale Program on Financial Stability, Yale School of Management. An earlier draft of the original note benefitted from many insightful comments from Boaz Goldwater, Meg Tahyar, and Randy Guynn of Davis Polk, and for the many helpful discussions on these topics with several FDIC officials.

Introduction

Much ado was made during the Banking Crisis of 2023 when the previously empty line item "Other Credit Extensions" became the largest lending category on the Federal Reserve's balance sheet. The line item represented the Fed loans to banks that had subsequently been put into Federal Deposit Insurance Corporation (FDIC) receivership—inclusive of new lending to the failed banks that were temporarily reopened as FDIC-run bridge banks.

While the "ado" about these loans largely faded after they were paid off on November 30, 2023, a July 2024 speech by then–FDIC Vice Chair Travis Hill provided the first official discussion of this lending (Hill 2024; US Treasury 2024). Hill observed [**emphasis** added throughout]:

> The failures of SVB and Signature (and subsequently, but to a lesser extent, First Republic) placed substantial liquidity demands on the FDIC. **The FDIC initially met these demands through borrowings from the Federal Reserve and did not pay off the borrowings in full until nearly nine months later.** The unprecedented nature of these borrowings, and the substantial cost incurred, have raised a number of questions. (Hill 2024)

As Vice Chair Hill noted, the FDIC did not immediately pay back the Fed upon the closing of the Silicon Valley Bank (SVB) and Signature Bank bridge banks or of First Republic Bank. The FDIC instead sold many of the assets collateralizing the Fed loans, swapping an FDIC corporate guarantee for the collateralization and keeping the Fed loans outstanding. While this is atypical, there is some historical precedent for this, as discussed below—if not in the modern era.

Two things were particularly unprecedented about this arrangement. First, the FDIC-run bridge banks engaged in extensive *new* discount window borrowing during their bridge period. Second—and not discussed by Hill or elsewhere—the bridge banks' new discount window borrowings included *uncollateralized* borrowing. The FDIC made this "naked" borrowing possible by providing its corporate guarantee—backed by the full faith and credit of the United States—to the Fed as security.

The initial use of Fed liquidity for the bridge banks seems to have been driven by a desire to preserve liquidity in the face of uncertainty. Notwithstanding the other potential motivations for making expansive use of this funding (discussed in the section titled "So, Why the New Liquidity Mechanism?"), the FDIC had implemented a novel mechanism to supplement its liquidity in crises. However, the "substantial cost incurred" must also be considered, particularly when thinking about how this mechanism fits within the FDIC's legal authorities.

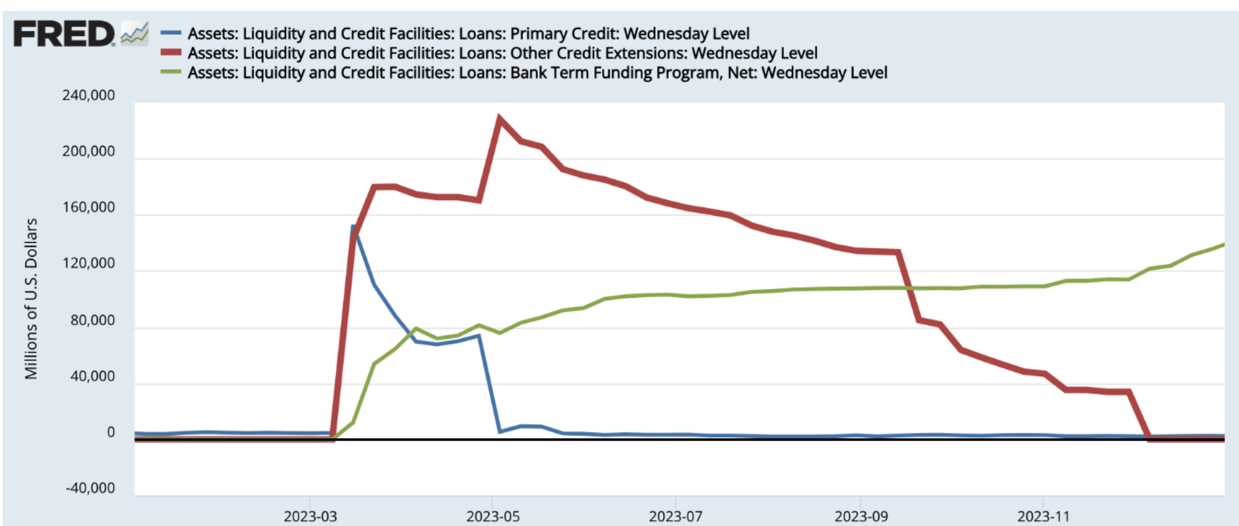
What Happened?

When resolving a bank, the FDIC is legally required to choose the resolution option that results in the least cost to the Deposit Insurance Fund (DIF) (US Government 2024). The "systemic risk exception," however, provides that if the Treasury secretary, in consultation with the president, and a supermajority of the FDIC and Fed boards agree that following the least-cost resolution requirement "would have serious adverse effects on economic conditions or financial stability," the FDIC need not execute a least-cost resolution (US Government 2024).

On March 12, 2023, the federal banking agencies jointly announced the invocation of the systemic risk exception (Fed, FDIC, and US Treasury 2023). Thus, the FDIC was able to consider financial stability when resolving SVB and Signature and take pursuant actions that did not represent the least cost to the DIF. (A least-cost resolution, in this case, would have involved imposing losses on uninsured depositors [FDIC 2023b].) Also on March 12, the Fed invoked its Section 13(3) emergency liquidity provision authority and announced the Bank Term Funding Program (BTFP)—under which the Fed would lend to banks against the par value of their government securities (Fed 2023c).[3]

Additional FDIC announcements explained that the failed Silicon Valley Bank and Signature Bank would see all their uninsured deposits protected; all deposits would be transferred—along with the banks' assets and some liabilities—to Silicon Valley Bridge Bank (SVBB) and Signature Bridge Bank (SBB) (FDIC 2023c; FDIC 2023d). Following this announcement, the line item on the Fed's weekly balance sheet called Other Credit Extensions suddenly shot up from zero (see Figure 1).

Figure 1: Discount Window Primary Credit vs. "Other Credit Extensions" vs. the Bank Term Funding Program in 2023, Weekly



Source: Federal Reserve Economic Data (FRED).

[3] Notably, in the Fed staff memo to the Fed Board that laid out the need for the BTFP, the staff listed among the program's justifications that there was "considerable pressure" on the DIF; see US GAO (2023, 32).

The Fed added a footnote to its balance sheet saying[4] that Other Credit Extensions,

> includes loans that were extended to depository institutions that were subsequently placed into Federal Deposit Insurance Corporation (FDIC) receivership, including depository institutions established by the FDIC. The Federal Reserve Banks' loans to these depository institutions are secured by pledged collateral and the FDIC provides repayment guarantees. (Fed 2023f)

In a June 2023 notice[5] on this line item, the Fed further clarified,

> In 2023, the Federal Reserve extended loans under its ordinary discount window lending authority (section 10B of the Federal Reserve Act), as well as, in one instance, under its emergency lending authority through the Bank Term Funding Program (BTFP) (established under section 13(3) of the Federal Reserve Act), to depository institutions that were later placed into FDIC receivership. Discount window loans were extended to Silicon Valley Bank, Signature Bank, and First Republic Bank, and BTFP loans were extended to First Republic Bank, in each case, before the depository institutions were placed into receivership. (Fed 2023g)

Other Credit Extensions has historically carried a zero balance; see Appendix A for a history of this balance sheet line item.

The June 2023 Fed notice added that Signature's discount window loans were transferred to its bridge bank (SVB had none outstanding at failure[6]) and that both SBB and SVBB then took on *new* discount window borrowings:

> The Signature Bank discount window loans that were outstanding when the depository institution was placed into receivership were assumed by Signature Bridge Bank, N.A., an [Office of the Comptroller of the Currency– (OCC-)]-chartered insured depository institution. In addition, **new 10B discount window loans were extended to Signature Bridge Bank, N.A. and Silicon Valley Bridge Bank, N.A.,** both OCC-chartered insured depository institutions that were eligible discount window borrowers under the Federal Reserve Act. (Fed 2023g)

Notably, SVBB and SBB did not borrow from the more-generous BTFP, despite some of their discount window borrowing's being against BTFP-eligible Treasury and agency securities. It is not immediately clear why that occurred or if the bridge banks were precluded from doing so. Loans from discount window and Section 13(3) facilities are both required to be "secured

[4] After the failures of SVB and Signature (when the footnote was originally added), and before the failure of First Republic on May 1, the footnote read slightly differently: "Includes loans that were extended to depository institutions established by the Federal Deposit Insurance Corporation (FDIC). The Federal Reserve Banks' loans to these depository institutions are secured by collateral and the FDIC provides repayment guarantees" (Fed 2023d).

[5] For the slightly updated version of this notice, see Fed (2024a).

[6] SVB borrowed $5.3 billion on the day before its failure, but it did not have any outstanding discount window borrowings at the time of its failure (Fed 2024a; US Congress 2023a, 123).

to the satisfaction" of the Fed, and both avenues have stipulations against lending to insolvent firms. Both bridge banks were granted status as otherwise-normal operating national banks (Lybarger 2023a; Lybarger 2023b).

The Fed added that the discount window loans (and, in the case of First Republic, the BTFP loans) remained outstanding and were not assumed by the failed or bridge banks' acquirers, but were instead left behind in the FDIC receiverships of the failed banks:

> Upon the two bridge depository institutions and First Republic Bank being placed into receivership, the discount window and BTFP loans were not assumed by the acquiring depository institutions. In each case, **the outstanding discount window and BTFP loans are being repaid from the proceeds of the sales to the acquiring depository institutions, if any, and the recovery on the collateral that was left behind in the receivership, supported by the FDIC guarantees of repayment.** (Fed 2023g)

Despite the sales of these franchises within weeks of their initial failure—SBB on March 19, SVBB on March 26, and the immediate sale of First Republic to JPMorgan Chase on May 1 (in other words, without establishing a bridge bank)—this Other Credit Extensions category remained substantial until the end of November 2023 (FDIC 2023e; FDIC 2023f; FDIC 2023h).

The weekly data (see Figure 1) shows that Other Credit Extensions peaked at $228 billion on May 3, 2023, the first reporting date following the First Republic failure.

Where Does the FDIC Normally Get Its Money?

While FDIC obligations have the "full faith and credit" status of US Treasuries, the FDIC is not funded by congressional appropriation; it is funded primarily by the fees it assesses on the banking industry. The Deposit Insurance Fund ended 2022 with a balance of $128 billion and Q1 2023 with $116 billion (FDIC 2024b, 30).

The FDIC also has a $100 billion line of credit with the US Treasury and had an additional $100 billion line with the Treasury's Federal Financing Bank (which is also funded by the issuance of Treasury debt)[7] (FDIC 2023a, 125). The FDIC can also borrow from the Federal Home Loan Banks (FHLBs) and from banks themselves (US Government 2021). It has no specific statutory authority to borrow from the Fed. Total FDIC borrowing is subject to a formulaic, statutory cap (see Figure 2).

[7] The Federal Financing Bank limit is not statutory but based on an agreement between it and the FDIC (FDIC 2018, 10; FDIC 2023a, 125; US Government 2021). Separately, the FDIC can monetize illiquid assets by securitizing them through the FFB, with the purchases ultimately funded by Treasury debt issuance (FFB 2024). The FDIC securitized $50 billion of assets through the FFB in September 2023 and approximately $47 billion in January 2024 (FDIC 2024a, 144, 147; Hill 2024).

Figure 2: Screenshot from the FDIC's 2023 Annual Report Describing Its Maximum Obligation Limitation (MOL)

> The MOL is a statutory formula that limits the amount of obligations the DIF can incur to the sum of its cash, 90 percent of the fair market value of other assets, and the amount authorized to be borrowed from the Treasury. The MOL for the DIF was $210.0 billion and $227.5 billion as of December 31, 2023 and 2022, respectively.

Source: FDIC 2024a.

FDIC guarantees would apply toward this cap on an *expected cost* basis, rather than by the total nominal amount covered. (FDIC guarantees would not count against the national debt ceiling, which limits the amount of issued debt securities.)

FDIC Funding during the GFC

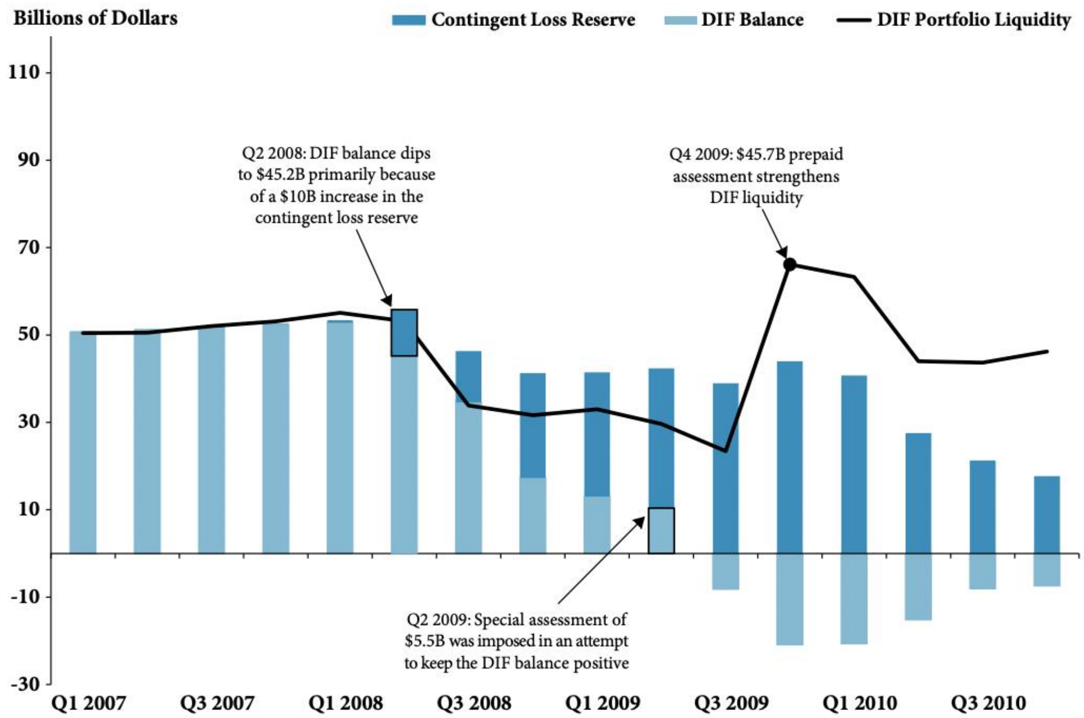
The FDIC borrowed from the Federal Financing Bank during its cleanup of the banking stresses of the 1980s and 1990s (FDIC 1991).[8] Yet, when the DIF balance went negative during the Global Financial Crisis of 2007–2009 (GFC), the FDIC didn't do any borrowing, in part because of Fed liquidity provision—from policies unrelated to the FDIC or the DIF.

As shown in Figure 3, the DIF balance went negative in 2009. The "balance," however, adjusts for expected losses; it is not an accounting of the FDIC's *liquidity*. In fact, the DIF stayed very liquid without any FDIC borrowing.

As Figure 3 shows, the FDIC imposed a small special assessment of $5.5 billion on banks in June 2009. However, it later increased its liquidity through an elegant mechanism: a prepayment from banks of their regular FDIC insurance premiums. In December 2009, it raised more than $45 billion by requiring banks to pay their normal quarterly payment, plus the next 12 quarters' worth, so the DIF could stay liquid despite a temporarily negative balance (see Figure 3).

[8] The Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA) provided the authority for the FDIC to borrow from the FFB.

Figure 3: DIF Balance vs. DIF Liquidity during the GFC



Source: FDIC 2017.

The FDIC wanted to avoid drawing on its credit lines for political reasons during the GFC. As Diane Ellis, then an FDIC director, explained in 2013:

> During the most recent crisis, the banking industry had been beneficiaries of extraordinary government assistance, and **the industry and public were suffering from what was termed bailout fatigue. It was believed that drawing on a borrowing line with the Treasury, which is backed by the U.S. taxpayer, would exacerbate matters**, even though the borrowing would be only for liquidity purposes and would be repaid with interest. (Ellis 2013)

The FDIC had also wanted to avoid imposing another special assessment because that would be booked as a large expense for the already-fragile banking system. As the FDIC later said, “In the second quarter of 2009, when the [$5.5 billion] special assessment was charged, FDIC-insured commercial banks and savings institutions reported an aggregate net loss of $3.7 billion” (FDIC 2017, 160). A prepayment of their regular assessments, by contrast, had the benefit of enabling banks to book it as an asset, while booking the expense slowly over time.[9] This is where Fed liquidity proved helpful, if entirely indirectly.

[9] There was also a built-in exemption process—FDIC discretion or an individual bank application—for any bank that would have been materially adversely affected by the FDIC’s liquidity pull (FDIC 2009).

At this chronic, less-acute stage of the crisis in late 2009, liquidity was no longer in short supply. The Fed had injected then-record amounts of liquidity through quantitative easing (QE), and the FDIC thus determined that banks were essentially sitting on excess liquidity (Ellis 2013; FDIC 2017). In this sense, the FDIC's liquidity could be viewed as being supported by the Fed—but only fortuitously.[10]

The FDIC as Assumer of Failed-Bank Discount Window Loans

The FDIC typically pays off immediately any discount window loans in resolution in exchange for the Fed's freeing up of the encumbered collateral. Discount window loans have a relatively short maturity (typically 90 days or less and historically overnight), and the Fed has a statutory "super-lien" on the collateral. In addition to being a secured lender, whose first protection is the value of the collateral, which is typically in excess of the loan value, the Fed's discount window claim is senior to that of depositors (in other words, the FDIC) in resolution. For a typical secured lender, any claim on a failed bank in excess of the fair value of the collateral is treated as an unsecured claim and will only receive payment pro rata with other unsecured creditors. However, the Federal Reserve Banks and the Federal Home Loan Banks are protected by 12 U.S.C. Section 1821(d)(5)(D)(iii). In the unlikely event that the fair value of the collateral backing the Fed and FHLB loans is not sufficient to cover the principal balance of their claims, they retain a senior claim for the difference.

While the FDIC's use of its guarantee to replace discount window collateral even after that collateral had been sold, and to do so for new, uncollateralized bridge bank borrowing, appears to be unprecedented, there is at least a history of the Fed's extension of the duration of discount window loans taken over by the FDIC. This history is outlined in Appendix B.

The 2023 Liquidity-Conserving Measures

1. **Instead of immediately paying down the Fed loans to free up the backing collateral, the FDIC swapped its guarantee for the collateral encumbered at the Fed.**

The public data on Fed lending is difficult to interpret in the Silicon Valley Bridge Bank and Signature Bridge Bank cases because the buyer of each franchise took only part of the balance sheet (FCB 2023; NYCB 2023). It is not clear which SVBB and SBB assets were posted at the Fed's discount window, which were purchased by their acquirers, and where those asset pools overlap. Moreover, even the greater detail in the Fed's two-year-delayed disclosures on discount window activity do not reveal partial paydowns of discount window loans (Fed n.d.; Fed 2023a; Fed 2023b). The same goes for the BTFP lagged-disclosure data

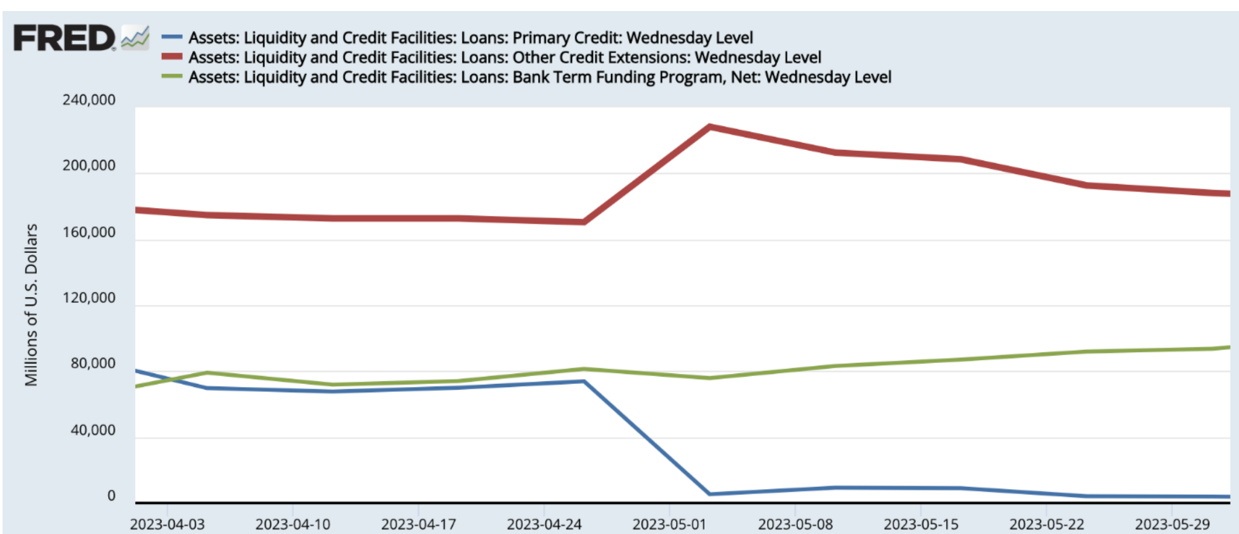
[10] Notably, the FDIC funding issues of the GFC occurred well into a recession, when the Fed was executing QE and concerned about deflation. The 2023 concerns over FDIC funding were occurring in the exact opposite environment. As described, the FDIC was worried the acute phase of the banking crisis was not over; for the Fed's part, some money market participants feared its quantitative *tightening* was going to overshoot the so-called lowest comfortable level of [liquidity] reserves in the banking system. It's thus not clear how comfortable the FDIC (and Fed) would have been with an industry prepayment this time around.

(Fed 2025). Thus, there are no visible updates to the outstanding loan and respective collateral amounts after the acquisitions of SVBB and SBB out of resolution—which would have revealed the extent to which the discount window loans remained outstanding even after the collateral was turned over to the FDIC.

The First Republic data is clearer. First Republic was able to borrow from the BTFP (the other two banks failed before it was established) and the discount window; in addition, JPMorgan Chase took "substantially all of the assets" immediately upon First Republic's failure. So, we are able to glean in the public data that the FDIC kept most of First Republic's Fed loans outstanding despite selling the underlying collateral.

In its last pre-failure earnings release, First Republic shared having about $14 billion of BTFP borrowing and $64 billion from the discount window as of March 31, 2023 (First Republic 2023). In its order taking possession of the bank, the California state regulator said First Republic had a total $93.2 billion in borrowings from the Federal Reserve as of close of business Friday, April 28, before its end-of-weekend failure in the early hours of Monday, May 1 (CADFPI 2023). In the Wednesday snapshots of the Fed's balance sheet that bookend the date of First Republic's failure, Other Credit Extensions increased by $58 billion, suggesting First Republic's total Fed borrowing still stood at least at that latter number on May 3 (in other words, the FDIC likely paid down, as an upper bound, $35 billion of the Fed borrowings) (see Figure 4).

Figure 4: Discount Window Primary Credit vs. "Other Credit Extensions" vs. the Bank Term Funding Program Surrounding the Time of First Republic's Failure and Sale to JPMorgan Chase, Weekly



Source: Federal Reserve Economic Data (FRED).

In addition, Other Credit Extensions did not fall back to its pre–First Republic failure balance for a couple months, and First Republic's BTFP loans remained outstanding. This was visible by comparing two different types of Fed reports. Supplemental to the Fed's Wednesday balance sheet reports, the Fed also reported BTFP month-end balances to Congress. For several months starting in May, these reports showed BTFP totals consistently approximately $14 billion above what the Fed reported in its weekly balances (Fed 2024b).

For instance, May 31, 2023, was both a month-end and a Wednesday; the Fed's weekly balance sheet reported a total of $93 billion outstanding at the BTFP, while its report to Congress said $107 billion (Fed 2023f; Fed 2023h). On August 30, the Fed balance sheet listed $107 billion of BTFP loans outstanding, while the August 31 report to Congress listed $121 billion. This difference was the outstanding First Republic BTFP loans.

What does this mean? Well, certainly in the case of First Republic, effectively all the collateral that was posted to the Fed was sold to JPMorgan Chase; there was thus no collateral left at the Fed associated with First Republic. So, the FDIC kept for itself at least $58 billion of the Fed loans to First Republic, by replacing First Republic's collateral (which the FDIC had sold to JPMorgan Chase) with an FDIC guarantee of repayment.

There may have also been other loan balances like this from the bridge banks' discount window borrowings; as noted, however, that data is less decipherable.

2. **The bridge banks took on substantial new discount window borrowing, some of which was uncollateralized in the case of Signature Bridge Bank.**

SVB's and Signature Bank's struggles to borrow from the discount window in their final hours have now been well documented by official reports (Fed 2023e; FDIC 2023g). Regulators closed SVB on March 10, 2023, with no discount window loans outstanding[11] and Signature on March 12 with $5.6 billion outstanding (NYDFS 2023). When both reopened as bridge banks on March 13, Signature's discount window loans transferred to its bridge bank, SBB. As nationally chartered bridge banks, SVBB and SBB were able to borrow from the discount window in the normal course of operation (Lybarger 2023a; Lybarger 2023b). SBB's ultimate resolution came on March 19 and SVBB's on March 26, when the deposit franchises and some assets were sold to other banks and the bridge banks put into final receivership (FDIC 2023e; FDIC 2023f).

Then–FDIC Chair Martin Gruenberg, responding to congressional questions for the record, wrote in 2023 that SVBB had $126.5 billion of discount window borrowing outstanding by the time of resolution, and SBB had $53.6 billion—a substantial increase in borrowing in two weeks operating for SVBB and one week for SBB[12] (US Congress 2023b, 189).

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[11] SVB borrowed $5.3 billion on the day before its failure, but it did not have any outstanding discount window borrowings at the time of its failure (Fed 2024a; US Congress 2023a, 123).

[12] Notably, when it took over SVB's deposit franchise, SVBB was advertising that it had unlimited FDIC deposit insurance for both existing and *new* deposits—and yet continued to face outflows (FDIC 2023i; SVB 2023b; SVB 2023a).

Transaction-level discount window data, which the Fed is required to release on an eight-quarter lag, provide more detail.[13] This data shows SVBB's discount window borrowing peaked at $127.5 billion on March 20, against collateral with a lendable value of $127.7 billion. SBB's borrowing peaked at $58.6 billion on March 13, and it rolled that amount through March 16. In contrast to SVBB's borrowing, however, this lending was only about half collateralized; the collateralization level hit a low on March 14, when SBB's $58.6 billion of borrowing was supported by $24.1 billion of collateral (Fed 2023a).

For the avoidance of doubt, it's clear the Fed was not *unsecured*; it had the FDIC guarantee. Rather, the loans were simply partially *uncollateralized*.

Thus, the valuation details show that even before the FDIC sold the failed bank franchises, it was creating liquidity for itself at the discount window by simply providing FDIC guarantees as security. This goes a step further than Measure No. 1 described earlier, which demonstrated that the FDIC appeared to be creating liquidity in some cases by selling the underlying collateral of the Fed loans without immediately paying back the loans. This additional information suggests that, irrespective of the failed banks' collateral in the bridge banks, the FDIC was using the bridge banks for new borrowing, and *uncollateralized* borrowing in SBB's case—creating liquidity with just the FDIC's guarantees as security.

So, Why the New Liquidity Mechanism?

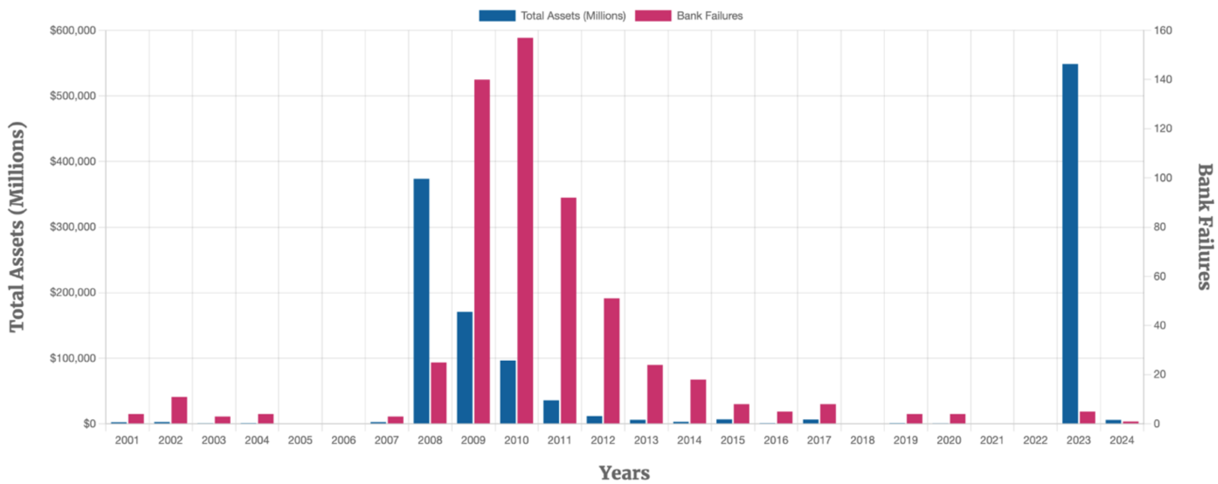
Why wouldn't the FDIC have paid back the Fed immediately upon putting banks into resolution like it normally does?

Uncertainty

One reason for the FDIC's sourcing of liquidity through the failed banks in 2023 was the substantial uncertainty over the ultimate duration and size of the banking stress—and thus how much liquidity the FDIC would ultimately need—especially given the failed institutions' relative size (see Figure 5).

[13] The original version of this note released before the Fed's lagged discount window disclosures, also relied on Gruenberg's responses to congressional questions for the record to assess the level of uncollateralized new borrowing. Gruenberg said that SVBB's collateral had a book value of $152.2 billion and a "fair value" of $127.5 billion—implying a haircut of less than 1%. As noted, however, the Fed data shows a *lendable* value (in other words, a haircut-adjusted fair value) of $127.9 billion. Gruenberg also said SBB's outstanding $53.6 billion of discount window borrowing at the time of its failure was backed by collateral with a book value of $65.3 billion and a "fair value" of $42.3 billion—implying a haircut of *negative 27%*. The Fed data instead shows a lendable value of $37.5 billion of collateral.

Figure 5: Total Assets of Failed Banks vs. Total Number of Failed Banks, by Year



Source: FDIC n.d.

FDIC Chair Gruenberg wrote in his response to congressional questions for the record:

> Since these bridge banks were open and operating national banks that had access to the Federal Reserve's discount window, **it was preferable to use this liquidity option to conserve the funds in the DIF for any potential subsequent resolution activity and/or other needs**. (US Congress 2023b, 190)

This answer directly addresses the FDIC's additional Fed borrowing while the bridge banks were open. It does not address any liquidity creation through loans beyond the value of the collateral or maintaining the loans after the underlying collateral was sold, though a similar motivation presumably held.

Moreover, because of the scale of the discount window borrowing of SVBB and SBB, and the fact that their acquirers left many assets behind, the FDIC may have wished to conserve the discount window liquidity until the underlying assets were sold. The FDIC got only $10.6 billion of cash in the First Republic sale and no cash inflows in the SVB and Signature sales (JPM 2023). As noted, however, that explanation does not carry over to the First Republic case—where effectively all the assets were assumed by JPMorgan—nor to the uncollateralized borrowing activity of SBB.

The Debt Ceiling

Another reason the FDIC may have resorted to this novel method of sourcing liquidity over its direct methods of borrowing was the then-binding limits on outstanding government debt. The US statutory debt ceiling became binding in January 2023, preventing any additive federal debt issuance (US Treasury n.d.). The Treasury was approaching the so-called X-date—at which it would not be able to pay its bills without further borrowing—potentially as early as June 2023 (Akabas, Snyderman, and Fano 2023). While the congressional standoff over the debt ceiling continued, the FDIC was constrained in its ability to call on the Treasury or issue its own debt—both of which would count against the public debt limit.[14] In June 2023, however, Congress and the president suspended the debt ceiling until 2025, alleviating this constraint (Cowan and Slattery 2023).

Borrowing aside, though, the FDIC can call on the existing funds of the DIF—which are invested in Treasury securities—without any net impact on the national debt. Vice Chair Hill said, however, that "there were significant challenges and frictions" in drawing on DIF funds "because of sensitivities related to the debt ceiling" (Hill 2024).

When asked in a congressional hearing if the FDIC was discouraged from drawing on its Treasury credit line owing to debt ceiling concerns, FDIC Chair Gruenberg opened his answer with, "I think there were discussions in regard to that . . ." (GOP Financial Services 2023, 04:12:00). However, in a written response to follow-up questions, he said, "The FDIC was not denied access nor discouraged from accessing its line of credit" (US Congress 2023b, 188).

Cost?

Another reason for tapping the Fed might be if the funding were somehow subsidized. As discussed more in the following sections, though, it was relatively expensive compared to the FDIC's other contingent funding options, at least from a pure accounting perspective—that is, not considering political capital or other optics and stigma issues. For instance, FDIC Vice Chair Hill said, "I suspect we may overestimate the impact that the DIF's temporary liquidity position has on depositor confidence," suggesting that some policymakers view drawing on the DIF as a suboptimal choice for the FDIC to source its liquidity (Hill 2024).

The "Substantial Cost Incurred" and Tensions with the FDIC's Authority

The Fed's June 2023 notice on Other Credit Extensions said that it began charging a 100-basis-point (bp) upcharge on the outstanding discount window and BTFP loans once the bridge banks and First Republic went into receivership. Vice Chair Hill's July 2024 speech revealed the behind-the-scenes causes[15] for that upcharge:

> When the bridge banks were dissolved, and when First Republic was sold, the Federal Reserve viewed the advances as in default, which, under the Federal Reserve's Operating Circular, results in a 500 basis point increase in the interest rate charged. After some negotiation, the Federal Reserve reduced the penalty rate to 100 basis points. (Hill 2024)

That the Fed continued to charge a penalty rate despite the strength of the FDIC guarantee clearly shows some continued discomfort with the loans on the Fed's part. As Hill went on to note, FDIC guarantees are of the same credit quality as US Treasuries: "Yet, the FDIC [had]

[14] Oddly, while the FDIC's borrowing statute makes it clear that FDIC debt issued to banks applies toward the debt ceiling, it does not say so for issuing debt to the FHLBs (US Government 2021).

[15] In addition to this negotiation, Chair Gruenberg's response for the congressional record added that the FDIC had established agreements with the Fed that "all loans will be repaid in full before December 31, 2023" (US Congress 2023b, 189).

fully guaranteed the borrowings, and, as banks are required by law to tell their customers, the FDIC is backed by the full faith and credit of the U.S. government." (Hill 2024)

He also provided a conservative estimate of the additional cost resulting from the penalty surcharge:

> The 100 basis point penalty rate was extremely costly given the volumes involved and the time it took to pay it off, **ultimately costing the FDIC roughly $1 billion. In effect, this was a shadow tax on the banking industry**, primarily charged through the special assessment, that in the short run decreases the Federal Reserve's losses and in the long run increases the "earnings" the Federal Reserve sends to Treasury. (Hill 2024)

And, as he also said, the FDIC's alternative funding sources discussed above wouldn't have come with that penalty rate:

> The most obvious places the FDIC could turn are the Federal Financing Bank (FFB) and the Treasury Department, which would have charged a cheaper rate than the Federal Reserve's penalty rate. [. . .] Nonetheless, **the FDIC chose to continue paying the Federal Reserve's penalty rate for months even after the debt ceiling was raised, rather than borrow from the FFB or Treasury.** (Hill 2024)

Regulators invoked the systemic risk exception to establish the bridge banks and protect SVB's and Signature's uninsured depositors. Notably, they did not resolve First Republic under the systemic risk exception, and, as noted, the FDIC paid the 100-bp penalty on some of the Fed's previous loans to First Republic. It's unclear how this borrowing choice fit with the "least-cost" resolution standard.[16]

Some Early Implications

As discussed, the 100-bp Fed premium relative to other FDIC funding options perhaps complicates any use of this mechanism within the confines of the least-cost test. That is, bringing FDIC guarantees to the discount window may be legally appropriate only in the case of invocation of the systemic risk exception—despite its use in the First Republic case. Moreover, as noted, even the 100-bp surcharge was the result of a negotiation (the contractual language demanded a 500-bp surcharge); there's no guarantee that the Fed would be willing to engage in such negotiation in the future.

[16] Moreover, while the FDIC funds the DIF through assessments on all insured banks, it is required to implement a special assessment for costs attributable to the systemic risk exception (US Government 2024). The special assessment is subject to the FDIC's design, where it is required by statute to consider, among other things, which institutions benefited from the exception's invocation. The FDIC decided to recover the costs of the 2023 systemic risk exception invocation based on each surviving bank's amount of uninsured deposits, excluding the first $5 billion of uninsured deposits at every bank (FDIC 2023j). The FDIC thus estimated the special assessment will be levied on just 146 depositories, belonging to just 114 banking organizations. The costs of the penalty rate charged by the Fed are thus being largely allocated to this subset of banks in the SVB and Signature cases, but to all banks (which will refund the DIF through regular assessments) in the First Republic case (Mitchell 2023).

That said, and while a full discussion of the possibilities under this novel funding mechanism is beyond the scope of this article—as it would entail exploring several hypotheticals—several particularly plausible implications rise to the surface.

As we saw already, there were implications for expanding the universe of the FDIC's available funding in crisis—particularly for identifying an option that avoids the federal debt ceiling constraint. By contrast, so-called Title II resolution—a post-GFC framework for non-bankruptcy-code FDIC resolution of systemically important financial companies, which utilizes the creation of bridge financial institutions—uses the Orderly Liquidation Fund (OLF) for providing receivership liquidity at the holding company level (FDIC 2024c). While the OLF losses would ultimately be recouped by assessments on large banks, it is initially funded by the Treasury; thus, there is a temporary debt ceiling impact. Using the depository institution subsidiary to directly obtain further funding from the discount window in such instances may thus be preferable.[17]

It's also possible that, given the strength of the FDIC guarantee, other lenders might be more comfortable than the Fed was. While the Dodd-Frank Act of 2010 curtailed the use FDIC assistance to *open* banks under the systemic risk exception, such assistance remains possible (12 U.S.C. § 1823[c]) for the FDIC if it fits within the limitations of the least-cost resolution test (US Government 2024). For instance, while the Fed continued lending to First Republic through April 28 (the Friday before its weekend failure), the Federal Housing Finance Agency advised the Federal Home Loan Bank of San Francisco on March 17 to not provide any new loans to First Republic (US GAO 2024). This decision might have changed if First Republic had been backed by the full faith and credit of the United States through an FDIC guarantee.

Similarly, the reason First Republic ultimately ran out of Fed funding is that the supervisory downgrades it received on April 28 moved it from the Fed's standard discount window facility (primary credit) to so-called secondary credit, which comes with higher collateral haircuts, among other stricter terms (FDIC 2023i). To the extent the FDIC can enable uncollateralized lending from the Fed by providing its guarantee, such supervisory downgrades need not bind.

Certainly, to the extent there is due or undue reticence toward accessing both the standing DIF funds and the FDIC's backup credit lines—and to the extent the debt ceiling binds—the FDIC may feel its hands are tied. Thus, the Fed's discount window and other lending facilities

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[17] It would likely be materially helpful only for the depository subsidiary itself; Sections 23A and 23B of the Federal Reserve Act constrain the depository's ability to send that funding to other subsidiaries or upstream it to the holding company, absent crisis-time exemptions (US Government 2017a; US Government 2017b; Omarova 2011).

In the event other crisis conditions call for additional Section 13(3) emergency liquidity facilities from the Fed, other subsidiaries (such as a broker-dealer), may be able to do similar such borrowing to the bank subsidiary while the holding company remains an FDIC-controlled bridge financial company.

may, in a twist of discount window irony, represent the *least stigmatized* option for the FDIC to preserve its liquidity in future crises (FRBNY 2015; Sablik 2024).

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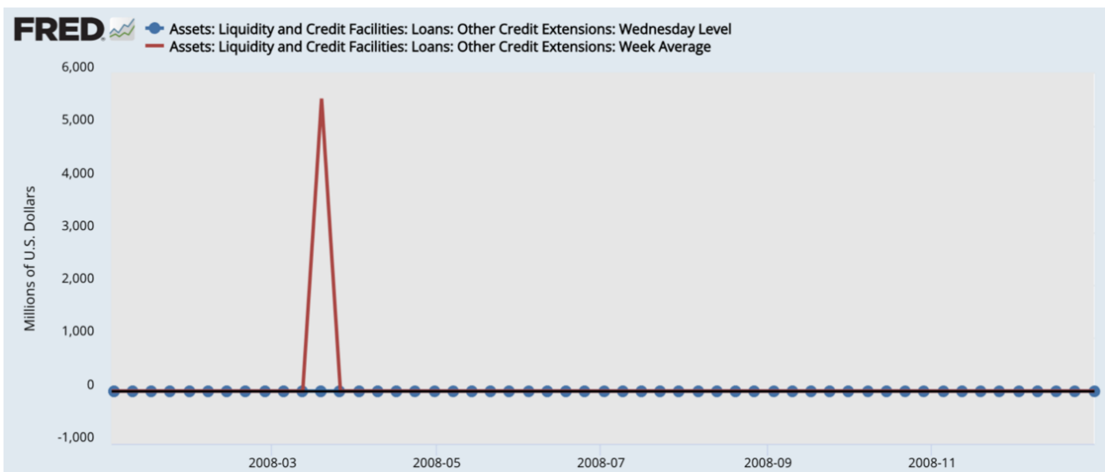
Appendix A

A Brief History of "Other Credit Extensions"

The Federal Reserve added the category of "Other Credit Extensions" to its weekly balance sheet report in March 2008, when it provided assistance to Bear Stearns to help Bear survive until the weekend (Fed 2008a). While this line item shows no amounts on the Fed's balance sheet snapshot data of its Wednesday balances, its "week average" figures reveal the Bear loan (see Figure 7).

Figure 7: "Other Credit Extensions: Wednesday Level" vs. "Other Credit Extensions: Week Average" in 2008



Source: Federal Reserve Economic Data (FRED).

As a bridge solution to get to the weekend when JPMorgan Chase ultimately bought most of Bear, the Fed provided an emergency loan to Bear, through JPMorgan, on Friday morning (Fed 2008b). The loan of $12.9 billion was paid off in full on the following Monday morning—hence its nonexistence on the bookending Wednesday reports (Fed 2009). The Fed invoked its Section 13(3) emergency liquidity authority but structured the loan as a back-to-back loan through the discount window: the Fed lent to JPMorgan (without recourse), which on-lent to Bear and took Bear's collateral to the window. It was thus filed under Other Credit Extensions. There was no Federal Deposit Insurance Corporation involvement in this case.

Appendix B

An Overview of the Fed's Offering Maturity Forbearance to the FDIC on Failed-Bank Discount Window Loans

By the nature of (the typical lack of) public information on such transactions, what follows is not necessarily an exhaustive accounting.[18] There are at least several known examples. The FDIC assumed failed-bank discount window loans (and received maturity forbearance) for the failures of several large banks between 1974 and 1989:

- At the time of its October 8, 1974, failure, Franklin National Bank had $1.7 billion outstanding at the discount window, representing almost half its $3.7 billion balance sheet. The Fed released to the FDIC the collateral backing the discount window loans in exchange for an FDIC-issued note committing it to paying back the Fed over the course of three years (FDIC 1984a, 90, 92). The interest rate was set to approximate the rate on the Fed's portfolio of Treasuries (Spero 1979). At the end of the year, the FDIC still recorded $1.7 billion of assets from Franklin and the matching liability to the Fed (FDIC 1975). The FDIC paid down this obligation as it liquidated the corresponding assets (FDIC 1976).

- When Greenwich Savings Bank failed on November 4, 1981, the FDIC assumed $428 million of debt to the Federal Reserve Bank of New York. The FDIC agreed to pay this back over three years at an interest rate of the average three-month Treasury yield plus 50 basis points (FDIC 1982).

- First National Bank of Midland failed on October 14, 1983, and the FDIC assumed $1.2 billion of assets and a $664 million obligation to the Federal Reserve Bank of Dallas (FDIC 1983). This obligation remained outstanding at year-end 1983 (FDIC 1984b). The level of maturity forbearance is unclear from public statements, but then–FDIC Chair William Isaac called it a "similar" transaction to the ones with Franklin National, Greenwich Savings, and Continental, suggestive of a three- to five-year maturity at a market rate of interest (Isaac 1984).

- When providing open-bank assistance to Continental Illinois National Bank and Trust Company of Chicago in 1984 (the bank didn't technically fail; policymakers rescued it as an open bank), the FDIC purchased $2 billion of troubled loans (face value of $3.7 billion), a $1.5 billion Continental promissory note, and a $1 billion preferred stock investment. This transaction "was, in part, funded by the assumption of $3.5 billion of indebtedness to the Federal Reserve Bank of Chicago." The FDIC paid back the Chicago Fed over five years "by making quarterly remittances of its collections, less expenses" (FDIC 1985). Payments to the Fed were a high priority for the FDIC's

[18] These are all the cases listed by then–FDIC Chair Isaac in a 1984 congressional statement that discusses whether there was precedent for the discount window forbearance provided in the Continental rescue (Isaac 1984). The accounting is therefore likely exhaustive at least to 1984.

> resolution: It applied portfolio liquidation proceeds first to administrative expenses for the asset pool, then to interest on the Fed loans, and thirdly to Fed principal (FDIC 1998).
>
> The FDIC said that the obligation to the Chicago Fed "will bear interest at specified rates established by the [Chicago Fed] **and the U.S. Treasury**" (FDIC 1985). In 1984, Chair Isaac said, "The Federal Reserve debt bears a market rate of interest, so there is no subsidy" (Isaac 1984). He added that, "The FDIC could have purchased the loans using its own cash, but **assuming the Federal Reserve debt enables the FDIC fund to conserve its liquidity**." A 1992 Federal Reserve Bank of Cleveland research note would later say that the Continental transaction represented the "the largest amount and the longest forbearance" provided by the Fed's discount window to the FDIC (Todd 1992). [19]

All these examples occurred before the "least-cost test" became the statutory requirement in the 1991 passage of the Federal Deposit Insurance Corporation Improvement Act (FDICIA).

[19] The FDIC also assumed notably large Federal Reserve loans in the resolutions of bridge banks for First Republic Bank in 1988 ($1 billion) and MCorp in 1989 ($1.5 billion). It could not be determined whether maturity forbearance was granted in these cases, though FDIC annual reports show limited maturities for outstanding "federal indebtedness" in those years, suggesting that any maturity forbearance was limited or unneeded (FDIC 1998).